CPP THOUGHT LEADERSHIP SERIES

# Workflow Transformation

## The Non-Negotiable Foundation of AI ROI

**PART 1 of 2**

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## Operationalizing AI

For the past two years, enterprise AI investment has been concentrated on tooling: platform licenses, model selection, data infrastructure, and proof-of-concept pilots. The results, for most organizations, have been underwhelming relative to the ambition. The diagnosis is not complicated.

***AI inserted into an unoptimized workflow does not transform a business. It automates its inefficiencies.***

The organizations capturing disproportionate AI value are not those that deployed the most tools - they are the ones that used AI as a forcing function to redesign how work gets done fundamentally. According to McKinsey, research identifies workflow redesign as the single variable with the greatest impact on whether AI generates measurable EBITA improvement, above model selection, data investment, or technology spend.

### The Misallocationn Most Organizations are Making

Most enterprises are underinvesting at the layer that actually determines value delivery, the content layer, where AI meets human workflows and decisions.

The underinvestment typically clusters around four areas:

- Operating model redesign - who does what, and how AI changes the division of labor between humans and systems
- Decision rights - which AI outputs trigger human review, which operate autonomously, and who is accountable for each
- Adoption and Organization Change Management - ensuring the people whose workflows are changing understand, trust, and use the new systems
- Outcome measurement, connecting AI activity to P&L visible results

Each of these is a business leadership responsibility, not an IT deliverable. The CIO can deploy a model, but ***only the COO and business unit leaders can redesign the workflow that model is meant to improve.***

*AI layered onto broken processes produces faster, more expensive failure. Sustainable value demands that enterprises **rewire how work actually gets done.***

## Where Most Organizations Are and Where They Need to Go

Enterprise AI maturity follows three chapters. Most organizations are stuck at Chapter 2. Over the next several years, many will agressively work towards the next chapter and it is here that separates leaders from the field.

| CHAPTER | DEFINING QUESTION | WHERE VALUE IS WON OR LOST |
|---|---|---|
| **ACCESS** | Can we get to AI? | Tooling and platform investment. Table stakes, low differentiation |
| **EXPERIMENTATION** | What can AI do for us? | Pilots and proof of concept. ROI signal is noisy |
| **EXECUTION** | How do we use AI as a business capability? | Workflow redesign, operating model, and accountability |

## What Leadership Must Do Differently

Moving from experimentation to execution requires a deliberate reallocation of leadership attention, not just capital.

Three shifts are required:

- Own workflow redesign at the business level. The CIO cannot redesign a sales process or a clinical workflow alone. Business unit leaders must be accountable for how AI changes the work in their domain.
- Measure outcomes, not activity. Replace AI adoption dashboards with P&L linked KPIs. If you cannot trace a direct line from each AI initiative to a business result, you do not yet have an execution program.
- Treat change management as a first-order investment, not a training exercise. It is the difference between a deployed model and a valuable one.

**THE BOTTOM LINE**

Companies that win in AI will not be those that end at the experiment. They will **be the ones that make AI executable**, with workflows redesigned around how work actually gets done, and clear accountability for business outcomes. Most companies don't have an AI problem. They have an execution problem.

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